

The problem for investors is not only that high growth and unusual profitability don't persist. Exacerbating the problem in many cases is that the market overestimates the business's potential, bidding the price of its stock too high relative to its potential. The stock of high quality companies is driven so high that long-term returns are impaired *even assuming the high rates of growth and profitability persist*. The corollary is also true: A company with an apparently poor business will generate an excellent return if the market price underestimates its fair value *even assuming the low growth or profitability persists*. These findings reveal an axiomatic truth about investing: investors aren't rewarded for picking winners; they're rewarded for uncovering mispricings—divergences between the price of a security and its intrinsic value. It is mispricings that create market-beating opportunities. And the place to look for mispricings is in disaster, among the unloved, the ignored, the neglected, the shunned, and the feared—the losers. This is the focus of the book.

If we want rapid earnings growth, and the accompanying stock price appreciation, the place to look for it is counterintuitive. It is more likely to be found in undervalued stocks enduring significant earnings compression and plunging market prices. How can this be so? The reason is a pervasive, enduring phenomenon known as *mean reversion*. It can be observed in fundamental business performance, security prices, stock markets, and economies. It returns high-growth stocks to earth, and pushes down exceptional returns on investment, while lifting moribund industries, and breathing new life into dying businesses. Though Graham described the exact mechanism by which mean reversion returned undervalued stocks to intrinsic value as “one of the mysteries of our business,” the micro-economic theory is well understood. High growth and high returns invite new entrants who compete away profitability, leading to stagnation, while losses and poor returns cause competitors to exit, leading to a period of high growth and profitability for those business that remain.

Though it is ubiquitous, we don't intuitively recognize the conditions for mean reversion. Time and again investors, including value investors, ignore it and consequently reduce returns. We can show that a portfolio of deeply undervalued stocks will, on average, generate better returns, and suffer fewer down years, than the market. But rather than focus on the experience of the class of deeply undervalued stocks, we are distracted by the headlines. We overreact. We're focus on the short-term impact of the crisis. We fixate on the fact that any individual stock appears more likely to suffer a permanent loss of capital. The reason is that even those of us who identify as value investors suffer from cognitive biases, and make behavioral errors. They are easy to make because the incorrect decision—rejecting the undervalued stock—feels right, while the correct decision—buying stocks